IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH
COURT-V

COMPANY PETITION NO. (CAA)- 89 (PB)/2020
IN
COMPANY APPLICATION NO. CA (CAA)-19 (PB)/2020

IN THE MATTER OF:

SECTION 230 to 232 OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION
AMONGST

ANU NIVASAM PRIVATE LIMITED

..Petitioner Company No.1 /
Transferor Company No.1

AND

AJ HABITAT PRIVATE LIMITED

... Petitioner No. 2/
Transferee Company

THEIR RESPECTIVE SHAREHOLDERS & CREDITOR

ORDER DELIVERED ON : 02.03.2023

Coram:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

ORDER

PER: SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

This Petition is preferred jointly by the Petitioner Companies under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise,

Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Amalgamation ('Scheme'), as contemplated between the Petitioner Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The Appointed date as fixed for the Proposed Scheme of Amalgamation is 01.04.2019. The details of the Companies proposed to be amalgamated, as placed on record are as under:-

a) M/s. Anu Nivasam Private Limited, ("Petitioner Company No.1/Transferor Company No.1") was incorporated on the 21.04.2006 under the provisions of the erstwhile Companies Act, 1956 as a private limited company bearing CIN: U45202DL2006PTC3 11126 having its registered office situated at11 0-B, 2nd floor, Humayunpur, Safdarjung Enclave New Delhi-11 0029.

b) M/s. AJ Habitat Private Limited, (hereinafter referred to as "Petitioner Company No. 2/Transferee Company") was incorporated on the 21.01.2008 under the provisions of the erstwhile Companies Act, 1956 as a private limited company bearing CIN: U453 00DL2008PTC172937 having its registered office situated at 11 0-B, 3rd Floor, Humayunpur, New Delhi-110029.

2. The Petitioner Companies submit that the rationale for the present Scheme of Amalgamation between the Petitioner Companies are as follow:-

a) The Transferor Company is subsidiary of the Transferee Company and both the companies are engaged in the similar business, real estate development, leasing etc. Both the Companies are the companies controlled under the same management. The proposed Scheme of Amalgamation would result in business synergy and consolidation of these compames into one large company with a stronger asset base.

b) The proposed amalgamation would enable pooling of physical, financial and human resource of these Companies for the most beneficial utilization of these factors in the combined entity.

c) The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of human and other resource and enhancement of overall business efficiency. It will enable these Companies to combine their managerial and operating strength which presently get divided despite of common management, to build a wider capital and financial base and to promote and secure overall growth of their businesses.

d) The said Scheme of Amalgamation will contribute in fulfilling and furthering the objects of the Transferor and the Transferee Companies. It will strengthen, consolidate and stabilize the business of these Companies and will facilitate further expansion and growth of their business by enjoying economies of scale. The resulting amalgamated company will be able to participate more vigorously and profitably in the competitive market scenario.

e) The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

f) The said Scheme of Amalgamation will have beneficial impact on all the Transferor and the Transferee Companies, their shareholders, employees and other stake holders and all concerned.

3. From the records, it is seen that the First Motion petition was jointly filed by the Petitioner Companies for seeking directions for dispensing with/ convene the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Companies. This Tribunal in the First Motion Application bearing No. CA (CAA) No.19 (PB) 2020, vide Order dated 23.09.2020 dispensed with the requirement of convening the meeting of the Secured Creditors and Un-Secured Creditors of Transferor Company as well as the Transferee Company. Further, this Hon'ble Tribunal was pleased to direct for convening of separate meetings of the Equity Shareholders Transferor Company and the Transferee Company under its supervision for the purpose

of considering and, if thought fit, approving, with or without modification(s), the proposed Scheme of Amalgamation.

4. The separate meetings of the Equity Shareholders of the Transferor Company and Transferee Company were held on 07.11.2020 at 11:00 a.m. and on 07.11.2020 at 12:00 p.m. respectively through VC/OAVM. The equity shareholders of the Transferor Company as well as Transferee Company have approved the Scheme of Amalgamation with 100% voting in favor of the proposed Scheme. The Chairperson of the meeting had duly submitted the chairperson report in Form CAA-4 along with scrutinizer report stating the result of meetings of the equity shareholders of the Transferor and Transferee Company on 13.11.2020 before the Tribunal vide e-filing number 07101020136820 20/2.

5. Subsequent to the First Motion Order dated 23.09.2020, the Second Motion Petition was jointly moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and other sectoral regulators who shall be affected by the proposed Scheme and to such other Objector(s), if any, and also for publication of notice in respect of the said Scheme. The said petition was admitted vide order dated 19.01.2021 of this Tribunal and directions were issued, by this Tribunal, requiring the Petitioner Companies to serve notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and other sectoral regulators likely to be affected by the said proposed Scheme and also to carry out necessary publication in the “Business Standard” English and Hindi newspapers with respect to the said Scheme.

6. It is submitted by the Petitioners that in compliance of the above stated directions, the Petitioners duly filed an Affidavit of Service and Publication dated 02.03.2021 by confirming that the aforesaid Notices of the present Company Scheme Petition were published on 09.02.2021 in "The Business Standard", English and "The Business Standard" Hindi edition, newspapers Delhi edition. It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities.

7. It is submitted by the Petitioner Companies that the compliance with respect to accounting treatment has been made as certified by the Statutory Auditor's Certificate, certifying that the proposed accounting treatment included in the Scheme among the petitioner companies is in compliance with the applicable Accounting Standards specified under the Section 133 of the Companies Act, 2013.

8. The Official Liquidator has filed its report dated 22.03.2021, wherein it is stated that on the basis of the information submitted by the Petitioner Companies, the Official Liquidator is of the view that the affairs of the aforesaid Transferor Company do not appear to have been conducted in a manner prejudicial to the interest of its members or to the public interest in terms of the provisions of the Companies Act, 2013.

9. The Income Tax Department has not filed its report despite several reminder and notices, resultantly, the Income Tax Department was set ex-parte vide order dated 03.10.2022. The Petitioner Company No.2/Transferee Company had vide additional affidavit dated 16.10.2021 undertakes to pay the income tax dues of the Transferor Companies, if any, subject to its right conferred under law.

10. The Regional Director vide his report dated 12.07.2021 has made certain observations with regard to the proposed scheme of Amalgamation among the

Petitioner Companies. The Petitioner Companies had filed reply dated 10.03.2021 and further additional reply dated 11.08.2021 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarifications to address the observations made by the Regional Director. The details of which are summarised below:

Observations	**Observations, of the Regional Director vide report dated 12.07.2021**	**Reply of the Petitioner Companies vide Affidavit dated 11.08.2021**
	On examination of the copy of the petition served to this office in respect of above amalgamation it is found that the transferee company was formed with main object to pursue Real estate development on its own or on contractual basis but it is following Investment activities. The above stated activities as pursued by the petitioner transferee company falls under the ambit of "Non-Banking Financial Companies (NBFC)" as defined under Reserve Bank of India Act, 1934 since it is evidenced from the balance sheets of the financial years ended on	It is submitted that the issue of requirement of registration by transferee company as NBFC under section 45IA of the Reserve Bank of India Act, 1934 based on the 50-50 criteria, it is clarified that interest on fixed deposit and fixed deposit with bank does not form part of financial assets for the purpose of computing 50:50 criterion and admittedly transferee company for year ended 31/03/2018 declared interest on fixed deposit which has been construed as general interest income. It is further submitted that transferee company does not require to obtain registration as NBFC under section 45IA of RBI Act. It is important to note that company being CIC with less than 100 crore networth having no public funds therefore is not mandated for registration.

	31.03.2019, & 31.03.2018 that more than 50% of its total assets are financial assets and also more than 50% of its total income is generated from financial activities.	Further, it is submitted that Reserve Bank of India on 13/08/2020 issued circular bearing no. RBI/2020-21 /24 DoR (NBFC) (PD) CC. No.117/ 03.10.001 /2020-2 1 in connection with all the Core Investment Companies wherein in para 8, it is categorically stated that all the Core Investment Companies (a) with an asset size of less than Rs.100 crores, irrespective of whether accessing public funds or not and (b) with an asset size of Rs.100 crores and above and not accessing public funds are not required to register with the Bank under Section 45IA of the RBI Act, 1934 in terms of notification No. DNBS.PD.221 / CGM (US) 2011 dated 05/ 0 1 /2011. It is submitted that statutory auditors of the company by their certificate dated 27.07.2021 confirmed that section 45IA of RBI Act is not applicable and the same is placed on record.

11. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of the petitioner Companies to the proposed Scheme and also in the view of the fact that no sustainable objections have been raised by the Office of the Regional Director, Income Tax Department or any other interested party, there does

not appear to be any impediment in granting sanction to the proposed Scheme of Amalgamation.

12. Accordingly, in sequel to the above facts and circumstances, sanction is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013.

13. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company (the Applicants/Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

14. Notwithstanding the above, if at any stage any deficiency is found or violation committed qua any enactment, statutory rule or regulation is found to be committed, the sanction granted by this Tribunal to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

15. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law will be made. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

16. This tribunal further directs with respect to Transferor companies and Transferee company that:

a) Upon the sanction becoming effective from the appointed date of amalgamation and arrangement i.e., 01.04.2019, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

b) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company is entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

c) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

d) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory

benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

e) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

f) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

g) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

17. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this Order, cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

18. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

The Company Petition bearing (CAA)/89(PB)/2020 is allowed in the above terms.

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (T)

Sd/-
(P.S.N. PRASAD)
MEMBER (J)